

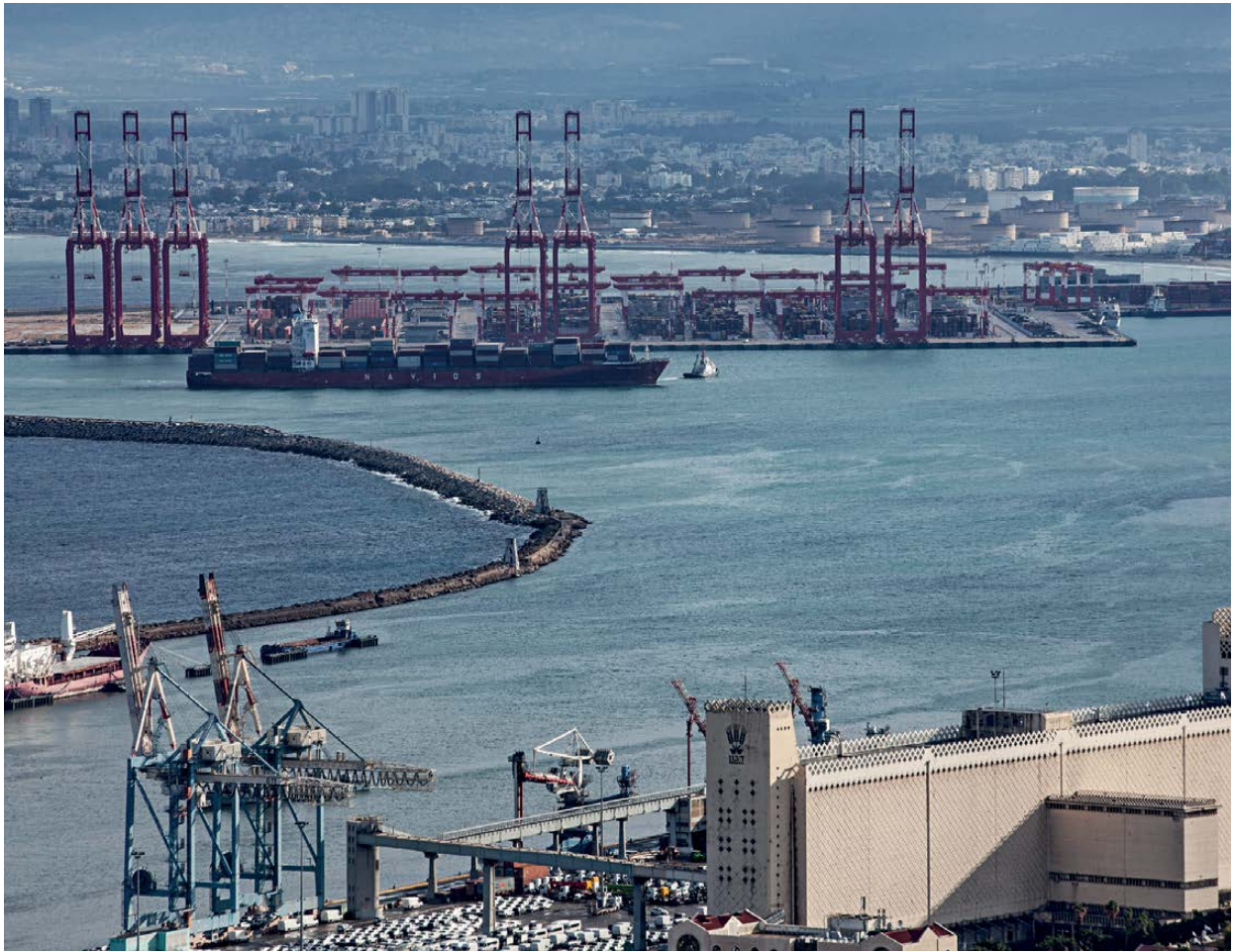


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**TRICKY SITUATION** Experts say, for a 20-foot container to Europe, shipping costs have gone up to \$2,100-2,500 from the previous \$500-600. In the case of the east coast of the US, shipping costs have doubled to \$3,100 from \$1,600

## THE RED SEA, WHICH CONNECTS TO THE MEDITERRANEAN VIA THE SUEZ CANAL, IS A VITAL CONDUIT FOR ASIA-EUROPE CONTAINER SHIPMENTS, WHICH REPRESENT UP TO 15% OF GLOBAL TRADE

exporters. For a 20-foot container to Europe, shipping costs have gone up to \$2,100-2,500 from the previous \$500-600. In the case of the east coast of the US, shipping costs have doubled to \$3,100 from \$1,600. Another round of hikes is likely," says Arun Kumar Garodia, Chairman of the Engineering Export Promotion Council of India (EEPC).

Ajay Sahai, Director General and CEO of the Federation of Indian Export Organisations, says many exporters are holding back consignments on the instruction of buyers.

Nearly 25% of containers with Indian shipments have also been held back at the port. "The government is trying to resolve this challenge both through diplomatic means as well as by ensuring more credit to exporters. But exports will be impacted if the situation continues," he says. Besides, getting insurance is also a challenge now as many private insurers have stopped providing cover for the route, he adds.

Moody's Analytics said its baseline view is that the immediate economic implications are limited.

However, risks abound, it warned. "If the disruptions last longer than expected, or if the situation in the region deteriorates, deeper economic damage would be the result. Disruptions, if significant enough, could impair production in Asia's advanced manufacturing hubs, stretching inventories, and leaving assembly lines idle," it said. An attendant uptick in commodity prices would worsen the damage, given developed Asia's overwhelming dependence on energy imports—Japan, South Korea, Taiwan, Singapore, and Hong Kong import more than 80% of the energy consumed domestically.

For now, the Indian government remains hopeful that this will be resolved soon and will not have a significant impact on the economy, which has remained resilient to multiple shocks in the past. **BT**

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